The other theory was that the bear cartel had managed to convince some fund managers holding shares of the three companies to sell out. These fund managers sold a sizeable chunk of the stocks during the week. Harshad kept buying the shares thinking it was short-sellers at the other end of the trade, whom he could squeeze at the end of the settlement cycle.

A third theory was that Harshad's rivals managed to smuggle out shares of BPL, Videocon and Sterlite from the BSE clearing house (demat had not picked up in a big way then) and had sold them in the market, triggering a crash in the stocks. They then bought the shares from the market at lower prices to deposit them back in the clearing house.

Years later, at our evening out, a dealer friend of mine bragged about how he was instrumental in bursting the BPL-Videocon-Sterlite bubble. One of the private firms through which Harshad was building positions in the three stocks was a client of the brokerage where my friend worked. He had a suspicion that the private firm's purchases were on behalf of Harshad. As the purchases kept getting bigger, my friend became wary, and insisted that his client deposit cash towards margin obligations instead of shares of the three companies. The firm kept buying time by offering to give more business to my friend's brokerage firm. But once the prices stagnated, my friend sensed trouble ahead and threatened to liquidate the positions unless the margin money was deposited. But the Harshad firm stopped taking his calls. Left with no option, my friend liquidated the positions in BPL. That turned out to be the beginning of Harshad's problems. When the BPL stock fell sharply, other brokers with positions in that stock too began booking profits to be on the safer side. This then set off a chain reaction, as the selling spread to Videocon and Sterlite too. At some point, Harshad's financiers must have become averse to putting up more cash, and once that happened there was no way the share prices could be supported.

Almost all the brokers who did trades for Harshad lost heavily as they were unable to sell the shares they had loaded up on, there being no buyers. They may have made good money in the first few months as the shares were rallying, but the crash put many of them out of business. BSE had to keep its systems open all night to allow insertion of trades that allowed the cash-strapped bulls to sell their positions to brokers who were in turn funded by the companies to avoid a payment default on the exchange.

As I was grappling with my trading losses because of the overall market downtrend came another bit of bad news, this time from the home front.